IIM KOZHIKODE · BMS 01 · ORGANISATIONAL BEHAVIOUR · DR. VIJAY KURIAKOSE

OB MID-SEM: THE COMPLETE MODULES 1–5 STUDY DECK

Every concept from the class PPTs + textbook (Kinicki & Saini) + readings R1–R3 + Cases 5–8, organised for an OPEN-BOOK, case-based exam.

M1 Intro · Ethics · Problem solving

M2 Values & Attitudes

M3 Emotions & Perception

M4 Motivation

M5 Positive OB

Companion file: **OB_Book_Margin_Guide.pdf**: page-by-page what to HIGHLIGHT and what to WRITE in your book.
Colour code used throughout: Blue = M1 · Green = M2 · Purple = M3 · Orange = M4 · Teal = M5 · Red = Exam toolkit

How to use tonight: an 8-hour plan for an open-book exam

Block	Time	Do this	Output
1	0:00–0:30	Slides 3–4: exam map + the CASE ANSWER MACHINE (memorise the structure)	You know HOW to write every answer
2	0:30–2:30	M1 + M2 slides → then annotate book pp. 3–31 and 41–69 using the Margin Guide	Ch 1 & 2 tabbed + margin notes
3	2:30–4:00	M3 slides → annotate pp. 105–115 and 123–137; write Prudence + Yelp facts in margins	Ch 3.5–3.6 & Ch 4 ready
4	4:00–5:45	M4 slides (heaviest module) → annotate pp. 165–196; write Orix facts	Ch 5 ready
5	5:45–6:45	M5 slides → annotate Ch 7 (pp. 257–295); write Southwest facts	Ch 7 ready
6	6:45–7:30	Exam toolkit slides: theory→case matrix + practice answers	Ready-made answer skeletons
7	7:30–8:00	Fill the INSIDE FRONT COVER index + sticky tabs; sleep	Fast navigation in the exam

Open-book golden rules

- The book is a **lookup tool**, not a reading tool. You must already know WHAT to look for.
- Marks come from **applying** theory to the case, not copying definitions.
- Never write a theory without a **case fact** next to it.

Sticky-tab colours

- Blue M1 · Green M2 · Purple M3
- Orange M4 · Teal M5
- Yellow tab = case-fact pages

If you only have 3 hours: Slides 3–4 → Motivation (M4) → Perception/Attribution (M3) → Values/Job satisfaction (M2) → Toolkit. These carry the most exam-friendly frameworks.

Exam map: exactly what is examinable (course outline, sessions 1–14)

Module	Topic (outline)	Textbook (your book pages)	Readings / Cases	Class PPT handouts
M1	How OB works; workplace effectiveness; Ethics & problem solving	Ch 1 (1.2, 1.3, 1.4 stressed) pp. 2–40	R1 Indiana Dept. of Revenue R2 Destructive Behaviours (Carucci)	OB Module 1-2 PPT · Behavioural Problems · People Mgmt (Starbucks) · HR-OB Infosys vs Jet
M2	Personal values; attitudes; Job satisfaction: reality or myth?	Ch 2 (2.1–2.6) pp. 41–75	—	Schwartz · Hofstede · GLOBE · Rokeach · Generations · Corporate & Leader values · McKinsey Great Attrition
M3	Emotional dynamics; Social perception & attribution	Ch 3 (3.5, 3.6) pp. 105–116 Ch 4 (4.1–4.3) pp. 125–137	R3 Resistance to Change (Carucci) Case 7 Prudence · Case 8 Yelp	—
M4	Theories & applications of workplace motivation	Ch 5 (5.1–5.4) pp. 165–198	R3 · Case 5 Orix Geoscience	Foundations of Employee Motivation PPT
M5	Positive emotions & Psychological Capital	Ch 7 (whole) pp. 257–295	Case 6 Southwest Airlines	Positive OB PPT (Tata COVID, Infosys–NIMHANS)

Mid-term = 30%. Outline: exams test 'knowledge of prescribed readings and ability to integrate, analyse and apply … open-ended questions'. CLO3 (Emphasized) = APPLY theory to real cases → ethical, evidence-based solutions.

The CASE ANSWER MACHINE: use this skeleton for EVERY case question

Ch 1 pp. 21–31

1 DEFINE THE PROBLEM

Gap = desired outcome − actual outcome. Use an OUTCOME word from the Organizing Framework (turnover, low engagement, poor performance, CWB, low job satisfaction). Ask 'why is this a problem?'

2 DIAGNOSE CAUSES

Use 2–4 OB theories. Sort causes as PERSON factors vs SITUATION factors and at INDIVIDUAL / GROUP / ORGANISATION level. Ask 'why/how does this cause the problem?' (5 Whys)

3 RECOMMEND & ACT

Map each recommendation to a cause. Say resolve / solve / dissolve. Check criteria: profits, people, reputation, values, ETHICS. Name short-term + long-term actions and how you will measure success.

Organizing Framework (IPO)

INPUTS

- Person: values, attitudes, personality, EI, needs, PsyCap
- Situation: leadership, job design, culture, rewards, climate

PROCESSES (indiv / group / org)

- Emotions, perception, attribution, motivation, justice, communication

OUTCOMES

- Indiv: performance, attitudes, turnover, OCB/CWB, flourishing
- Org: financial performance, customer satisfaction, reputation

WRITE IT LIKE THIS: 'The core problem is ___ (outcome gap). Applying ___ theory (p. __), the cause is ___ because in the case ___ (fact). A second cause, from ___ theory, is ___. Therefore I recommend ___ (maps to cause 1) and ___ (maps to cause 2); success = ___ improves within ___.' → One theory + one case fact + one action per paragraph.

MODULE 1: Introduction to OB · Ethics · Problem Solving

Ch 1 · R1 · R2

WHAT
OB = systematic study of how individuals, groups & structure affect behaviour, applied to improve organisational effectiveness

WHY
60–80% of org difficulties come from strained relationships, not skill deficits (Dana 2005). #1 cause of Fortune-500 exec failure = poor interpersonal skills

HOW
Contingency approach + 3-Step Problem Solving + Organizing Framework (Inputs → Processes → Outcomes)

Session	Topic	Book	Reading / handout
1–2	How OB works; workplace effectiveness & org performance	Ch 1	R1 Indiana DOR
3–4	Ethics & performance; structured problem solving	Ch 1.2, 1.3, 1.4	R2 Carucci; Behavioural Problems; People Mgmt
5	Industry expert	—	HR-OB success/failure: Infosys vs Jet Airways

Module 1 gives you the TOOLS (3-step approach, Organizing Framework, person-situation) that you will use to answer EVERY question in Modules 2–5.

Organisations, managers & what managers actually do

Class PPT slides 5–16

Organisation

- **Consciously coordinated social unit** of 2+ people, functioning on a **relatively continuous** basis to achieve common goals
- Purposefully created · 2+ people · continuous · goals

Managers (administrators)

- Achieve goals **through other people**
- Make decisions · allocate resources · direct others' activities

4 Functions (POLC)

- **Planning**: goals, strategy, plans
- **Organising**: tasks, who does, grouping, reporting
- **Leading**: motivate, direct, communicate, resolve conflict
- **Controlling**: monitor & correct deviations

Katz's 3 management skills

- **Technical**: apply specialised knowledge
- **Human**: work with, understand & motivate people
- **Conceptual**: analyse & diagnose complex situations
- Technical skills matter less & personal skills more as you rise (Fig 1.1, p. 10)

Luthans: 4 managerial activities

- Traditional mgmt: decide, plan, control
- Communication: routine info, paperwork
- HRM: motivate, discipline, conflict, staff, train
- **Networking**: socialise, politick
- Successful (promoted) managers network most; effective managers communicate most

Common thread

- Functions, roles, skills and activities approaches all stress **managing people**: the 'leading function', 'interpersonal roles', 'human skills', 'HRM'.
- → Managers must develop **people skills** to be effective AND successful.

Myths the class challenged

- AI can lead / replace humans · decisions are always rational · HRM is a myth · innovation is only tech-driven · technology is the key to success

Use in an answer

- When a case has a 'task-only' manager (e.g., Alex at Starbucks), cite: managers achieve results THROUGH people.

What is OB? Definitions, features, levels, disciplines

Ch 1 p. 4 · PPT 17–64

Definitions (quote one in answers)

- **Robbins**: field of study investigating the impact of **individuals, groups and structure** on behaviour within organisations, to apply that knowledge to improve **organisational effectiveness**
- **Luthans**: understanding, prediction & control of human behaviour in organisations
- **Kinicki (p. 4)**: interdisciplinary field dedicated to understanding & managing people at work

Features

- Behavioural approach to mgmt
- Theory + research + application
- Human tool for human benefit
- Interdisciplinary
- 3 levels of analysis
- Action-oriented, goal-directed
- Science AND art
- Systematic, not intuition

Goals & significance

- **Explain, predict, control** behaviour
- Raise employee & org effectiveness
- Understand self & others
- Motivation
- Effective communication
- Healthy climate
- Good HR relations

3 levels of OB

- **Individual**: attitudes, personality, performance
- **Group/Team**: collaborate, communicate, coordinate
- **Organisation**: structure, culture, systems

Contributing disciplines

- Psychology (individual)
- Sociology (group, org system)
- Social psychology (influence of people on one another)
- Anthropology (culture)
- Political science (power, conflict)
- + economics, ethics, neuroscience

Contingency approach + why not 'common sense'

- **No one best way**: use OB tools that best suit the situation (p. 5)
- Common sense has 3 weaknesses (p. 7): **overreliance on hindsight**, **lack of rigor**, **lack of objectivity**
- Intuition = feeling not supported by research; systematic study = cause-effect conclusions from evidence. Preconceived notions ≠ facts
- **Organisational iceberg**: visible formal aspects (structure, goals) vs hidden informal aspects (attitudes, feelings, norms, politics) that sink ships

Why OB matters for your career: hard vs soft skills

Ch 1 pp. 3–10

Hard vs soft skills (p. 7)

- **Hard** = technical expertise for a task (accounting, finance)
- **Soft** = interpersonal skills + personal attributes: 'hard skills are WHAT you do, soft skills are HOW you do it'
- Soft skills are **portable** across jobs and levels

Table 1.1: top 4 skills	Meaning
Problem solving	Identify problems, evaluate options, implement
Critical thinking	Logic to weigh alternatives
Creativity	New ideas, processes, tech
People management	Motivate, develop, influence

Hired vs promoted (p. 9)

- **Hired for**: technical skills, GPA, nuts & bolts of the job
- **Promoted for**: managing people, team skills, building relationships
- ManpowerGroup: 61% rate people (OB) skills most important

Self-awareness: key to career (pp. 5–6)

- Knowing your skills, values, weaknesses, preferences AND how others see you
- Stanford GSB advisory council's #1 skill to learn: self-awareness
- Only 10–15% truly self-aware; seniority breeds overconfidence
- **Build it**: mindfulness · timeouts · keep ears open, mouth shut · diary of strengths & weaknesses · self-assessments · seek feedback

Challenges & opportunities for OB (PPT)

- Globalisation (foreign assignments, cultures, job movement)
- Workforce diversity · improving people skills · empowering people
- Innovation & change · coping with 'temporariness' · networked orgs
- Work-life balance · improving ethical behaviour · AI & hybrid work
- Why more systematic study now: diversity, global competition, technology, social change

1.2 Ethics & performance: why it matters, cheating, lapses

Ch 1 pp. 11–17

Why ethics gets priority (p. 11)

- 1. Employees face ethical challenges at all levels, throughout careers
- 2. Unethical behaviour **damages relationships & trust**, making business & influence hard
- 3. Reduces cooperation, loyalty, contribution → hurts individual, team, org performance

Key ideas

- **Unethical ≠ illegal**: most unethical acts are legal and unpunished, so don't rely on law (p. 14)
- **Ethical dilemma** = two choices, neither ethically acceptable (#MeToo whistle-blowing; drug pricing) (p. 16)
- Most wrongdoers are 'good people'; the **work environment** produces misconduct

Indian ethical lapses (p. 14)	What happened	Year / who
Satyam	Inflated revenue & cash (~₹7000 cr fake assets); India's largest accounting fraud	2009 · Ramalinga Raju
Harshad Mehta	Stock market scam; illegal trading	1992
PNB fraud	Fraudulent LoUs via SWIFT for overseas loans	2018 · Nirav Modi, Mehul Choksi
ABG Shipyard	Cheated 28-bank consortium; diverted funds	2017
Kingfisher	Financial fraud/mismanagement; collapse with huge debts	2010–16 · Vijay Mallya

OB in Action: Bank of Baroda 'bob World' app scam (p. 17), a GREAT exam example

- Bhopal-zone staff told to report at 7 a.m. with **aggressive enrolment targets**; staff linked customer accounts to unrelated mobile numbers to hit quotas
- RBI (Oct 2023) halted new onboarding → reputational damage
- **OB lesson**: ill-conceived goals + pressure from supervisors + reward systems → unethical behaviour (links to goal-setting risks, Ch 5)

Causes of unethical behaviour & what YOU can do about it

Ch 1 Table 1.2 p. 18; p. 20

Cause (Bazerman & Tenbrunsel)	What it means	Example	Remedy
Ill-conceived goals	Goals/incentives meant for good behaviour encourage bad	Billable-hours pressure → padding	Brainstorm unintended consequences; reward other goals
Motivated blindness	Overlook others' wrongdoing when it's in our interest	Baseball officials & steroids	Root out conflicts of interest
Indirect blindness	Hold others less accountable when done via third parties	Drug firm sells rights; buyer raises price	Own the implications of outsourced work
Slippery slope	Miss unethical behaviour that develops gradually	Auditors accept slowly worsening statements	Act on even trivial infractions immediately
Overvaluing outcomes	Excuse unethical acts if outcome is good	Fraudulent trial that 'saves lives'	Reward sound processes, not just outcomes

Other causes (p. 18)

- Personal motivation to perform ('I must be No. 1')
- Supervisor pressure + unrealistic goals + threats
- Reward systems that honour unethical behaviour
- Perceived little/no consequences
- Students: **peer behaviour** = strongest predictor of cheating

What you can do about unethical conduct (p. 20):

- **Treat it as business**
- **Accept it's part of your job**
- **Challenge the rationale**
- **Use junior status as an asset**
- **Explain long-term consequences**
- **Suggest solutions, not complaints**

1.3–1.5 Structured problem solving: the backbone of every answer

Ch 1 pp. 21–31

3-Step Approach (p. 21)

- **Problem** = gap between actual & desired state; problem solving = systematic process to close it
- **1 Define** (in terms of desired outcomes; test with 'Why is this a problem?'; Einstein: 59 min defining)
- **2 Causes** via OB concepts (test: 'Why/how does this cause it?')
- **3 Recommend & act**: map recos onto causes

Choosing a solution (pp. 29–30)

- **Resolve** = satisfactory fix (doughnut spare tyre)
- **Solve** = optimal fix (full-size spare)
- **Dissolve** = remove the situation (public transport)
- Criteria · consequences/trade-offs · choice process (you/team/third party) · resources

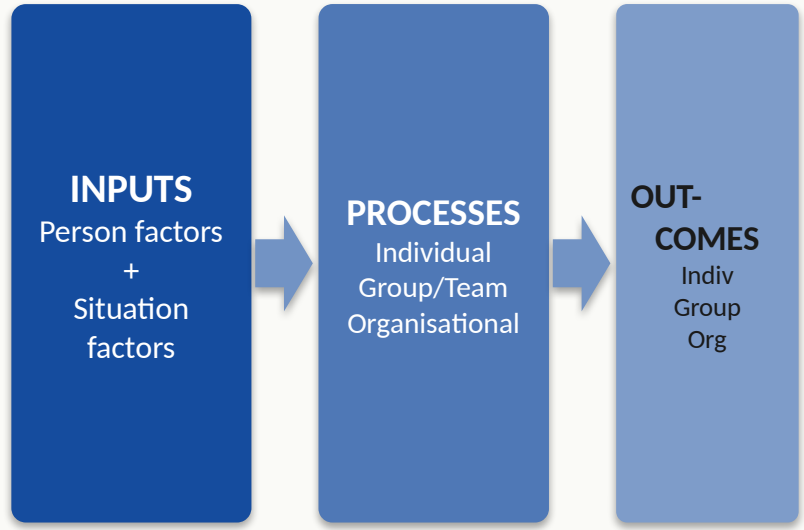
Person–Situation distinction (p. 24)

- **Person factors**: characteristics that give unique identity (Part One of book)
- **Situation factors**: everything outside us that helps/hinders
- **Interactional perspective**: behaviour = f(person × situation); both are dynamic and change each other

Using levels to find causes (p. 26)

- Turnover example: Person (shared traits of leavers?) · Situation (better job market?) · Individual (job became boring?) · Group (new micromanaging boss?) · Org (restructuring, HQ moved?)
- → widen focus, more possible causes

Organizing Framework (Fig 1.3, p. 27)



Insights from Fig 1.4 (p. 31)

- Systems model with **feedback loops** (outcomes shape future inputs)
- More person than situation factors → look at person factors for causes
- Think across levels; leadership is both input AND process
- Mars Inc. example (p. 28): frugal but 'Five Principles' culture → 5% turnover

Behavioural problems of employees: diagnose, don't label

Handout 1 · PPT 'Behavioural Problem'

Definition

- Recurring/significant patterns of behaviour that negatively affect performance, relationships, team or org effectiveness
- Problem = observable behaviour; **cause** may be personality, perception, attitude, motivation, emotion, leadership, culture

Individual level	Group level	Organisation level
Low motivation · cynicism · absenteeism & lateness · poor adaptability · no initiative · emotional outbursts · low commitment	Interpersonal conflict · poor teamwork · incivility · gossip · knowledge hoarding · conformity · blame shifting	Resistance to change · politics & favouritism · employee silence · unethical behaviour · CWB · high turnover · weak OCB

1 OBSERVE
What exactly is the behaviour?

2 IDENTIFY
Individual, group or org?

3 DIAGNOSE
What factors cause it?

4 INTERVENE
What can the manager change?

5 FOLLOW UP
Has it improved?

Problem → OB concept

- Low motivation → motivation theories, rewards, goals
- Conflict → personality, communication, group dynamics
- Resistance to change → perception, attitudes
- Incivility → emotions, attitudes
- Silence → power, leadership, psych. safety
- Politics → power & influence

'Is he really lazy?' mini-case

- Experienced employee: late, avoids meetings, refuses new digital system, complains, stopped helping
- Check: personality · perception of change · attitude/trust · motivation/rewards · emotions/frustration · group ties · leader · culture

Causes & managerial responses

- Causes: individual · job (role ambiguity, workload) · leadership · group · organisation · external
- Responses: clarify roles · coaching & feedback · redesign job · voice channels · recognition · address conflict early
- **'Diagnosis, not blame'**

People-management skills (Starbucks 'Alex') & HR-OB success vs failure

Handouts 5 & 8

Starbucks store: the situation

- Long queues, staff shortages; manager **Alex** focuses only on targets & efficiency
- Publicly criticises mistakes, 'work faster'
- → short-term productivity ↑, then silence, blame, experienced staff leave, absenteeism, complaints ↑
- Alex: 'I communicated targets… why isn't the team performing?'

Diagnosis

- A **people-management** problem, not a productivity problem
- Public criticism → ↓ trust & psychological safety; pressure without support → ↓ motivation; blame → ↓ teamwork
- Task-focused: 'Work faster' vs people-focused: 'What is causing the delay?'

8 key skills → outcomes

- Communication → coordination
- Active listening → early problem detection
- Emotional intelligence
- Empathy → relationships
- Constructive feedback (private, not humiliating) → learning
- Coaching → capability
- Conflict management → teamwork
- Recognition → engagement
- Delegation → ownership

Dashboard Alex should track

- Business (sales, complaints) + People (absenteeism, turnover, engagement) + Team (conflict, peer support) + Leadership (trust, voice)

Infosys ✔ (success)	Jet Airways ✘ (failure)
L&D culture: 'Lex' learning platform	Poor employee relations & communication
Transparent career paths, competency appraisals	Unfair compensation, delayed salaries
'Infosys Cares', InfyMe app; open grievance portals	Low morale, no engagement
Women in Leadership; flexible work, maternity benefits	No workforce planning (overstaffing + skill gaps)
Values: C-LIFE; ethical leadership	No change mgmt when IndiGo/SpiceJet disrupted
First Indian co. on NASDAQ; low attrition	Shut April 2019; 20,000+ jobless

R1: Indiana Dept. of Revenue: from bureaucracy to Top-100 US workplace

Austrom, Business Horizons 2024

The crisis (2011–12)

- Failed to distribute **$205M** local tax revenue + $320M corporate taxes misallocated → **$526M errors**
- Deloitte audit: fragmented systems + 'culture that sacrificed **accuracy for speed**'
- Old culture: time clocks, pay docked, micromanaged, locked doors, fear: 'kept our heads down'

Transformational leaders

- **Adam Krupp** (2017–20) & **Bob Grennes** (2017–)
- Motto: **Respect, Trust, Caring**; 'people as people, not objects' (Arbinger)
- Walked corridors, knew names, asked 'what do you need?', fixed broken chairs
- Schein: 'The only thing of real importance leaders do is create & manage culture'

Schein's level	What DOR did
1 ARTIFACTS (visible)	Unlocked doors, painted walls, staff photos in annual reports, removed petty rules, relaxed dress, frequent communication, recognition programs, leadership development
2 ESPOUSED VALUES	Short, memorable mission/vision → **Pyramid of Excellence**; 7 core values: **Fun**, leadership, integrity, respect, teamwork, service, continuous improvement
3 BASIC ASSUMPTIONS (deepest)	Mindset shifts: people as objects → people as people; distrust → trust; **taxpayers → customers**; collecting taxes → serving citizens; stakeholders: adversaries → allies

RESULTS: Project NextDOR ($100M IT modernisation) on time & on budget for 5 years; >90% customer satisfaction; first government agency in US Top 100 Workplaces (2023), WITHOUT private-sector pay or perks. 'If you are not having fun, you are doing it wrong.'

R1 (contd.): Pfeffer's 7 people-centred practices + Heifetz on change

Use for: effectiveness, culture, motivation, POB

Pfeffer practice	How DOR applied it (or constraint)
1 Employment security	Govt jobs already secure → acts only as a **hygiene factor** (Herzberg)
2 Selective hiring	State controls hiring, yet DOR screens for fit: Lencioni's 'humble, hungry, smart'
3 Extensive training	Call-centre training 2 days → 4 weeks + 2 weeks coaching; tuition reimbursement; leadership academy
4 Sharing information	Shares financial & performance metrics; teams set own targets → trust
5 Self-managed teams	Consultative, empowered: 'Let's see if we can make that happen'
6 Reduced status differences	'Blow up the distinctions': opened 'Mahogany Row', exec bathrooms; hierarchy of ROLES not control
7 High contingent pay	NOT possible; pay stagnant till 2022, yet engagement high → Pink's autonomy, mastery, purpose

Heifetz: technical vs adaptive

- **Technical** problems: solvable with existing expertise
- **Adaptive** challenges: need new learning in beliefs, mindsets, values
- Pre-2017 fixes were technical; DOR treated NextDOR as BOTH systems & business (culture) modernisation; front-line staff mapped processes

Exam angles for R1

- **Workplace effectiveness**: culture → engagement → performance
- **Motivation**: non-monetary (recognition, fun, meaning) when pay is fixed (Herzberg, SDT)
- **Values/attitudes**: espoused vs enacted values; person-org fit
- **POB**: virtuous leadership, positive climate, flourishing
- Change = 'hundreds of interconnected things', not a program

R2: Getting to the Bottom of Destructive Behaviors (Ron Carucci, HBR 2019)

Ethics, problem solving, emotions

Why change fails: the brain

- **Prefrontal cortex** = cognition = 'the WAY' (learning new skills)
- **Reward system** (dopamine) = motivation = 'the WILL'
- Most change fails when only one is engaged
- Chronic behaviours are rooted in formative trauma stored in the **amygdala** → self-protective re-enactment; will + way not enough

Case: Andy (division president, accounting firm)

- Affable, articulate BUT needed to be right, craved spotlight, talked non-stop, belittled others
- Origin: stutter + ADHD; walked past jeering peers to the 'stupid classroom' age 10
- Old narrative: 'Unless you prove otherwise, everyone will see how stupid you are'

1 Write origin stories	Recall scenes (ages 5–20) where the behaviour became important. Q: When & how was this learned?
2 Identify the inner narrative	Name the one-sentence belief/template formed then (can't rewrite what you can't name)
3 Name the need it serves	Andy: 'I want to feel like I belong just by being me' (behaviour buys acceptance)
4 Choose a new narrative & behaviours	Andy: 'I am liked, smart, and safe even in silence.' Takes time; therapist may help

MODULE 2: Values & Attitudes · Job satisfaction: reality or myth?

Ch 2 pp. 41–75

VALUES (global, all situations) → **PERCEPTION &** interpretation → **ATTITUDES** (specific targets) → **INTENTIONS** (Ajzen) → **BEHAVIOUR** → **OUTCOMES** performance · OCB · turnover

Session 6: Personal values (2.1–2.3)

- Values: definition, sources, Rokeach, value system
- **Schwartz** 10 values & 4 higher-order dimensions
- Hofstede 6 dimensions · GLOBE 9 + 6 (class PPT)
- Personal attitudes: ABC · cognitive dissonance · Ajzen
- 4 key workplace attitudes: commitment, engagement, POS, job satisfaction

Session 7: Job satisfaction (2.4–2.6)

- **5 causes**: need fulfilment, met expectations, value attainment, equity, dispositional/genetic
- **10 correlates**: 4 attitudinal, 4 behavioural, 2 organisational
- OCB vs CWB · turnover · spillover to customers
- Debate: is satisfaction a 'reality or workplace myth'? (McKinsey Great Attrition)

Values: what they are, where they come from, why they matter

Ch 2 p. 43 · PPT · Handout 6

Definitions

- **Kinicki**: abstract ideals that guide thinking & behaviour **across all situations**
- **Robbins**: basic conviction that a mode of conduct or end-state is personally/socially preferable to its opposite
- Stable, evaluative beliefs; define right/wrong · **Value system** = hierarchy of values

Rokeach Value Survey

- **Terminal** values = desirable end-states (comfortable life, equality, family security, freedom, happiness, self-respect, wisdom)
- **Instrumental** values = preferred means/behaviours (ambitious, honest, responsible, capable, courageous, helpful)
- Different groups (execs, unions, activists) rank them differently

8 reasons to study values

- 1 Influence behaviour (integrity → won't fake sales)
- 2 Shape attitudes & satisfaction (value fit)
- 3 Drive motivation (achievement vs security)
- 4 Guide ethical decisions; conflicts → dilemmas
- 5 Explain individual differences: no one-size-fits-all
- 6 Build culture: stated vs **enacted** values; gaps → cynicism
- 7 Leadership & relationships
- 8 Manage diversity: dialogue, not stereotypes

Person–Organisation fit

- High fit → satisfaction, commitment, retention; low fit → conflict, turnover

Sources & stability

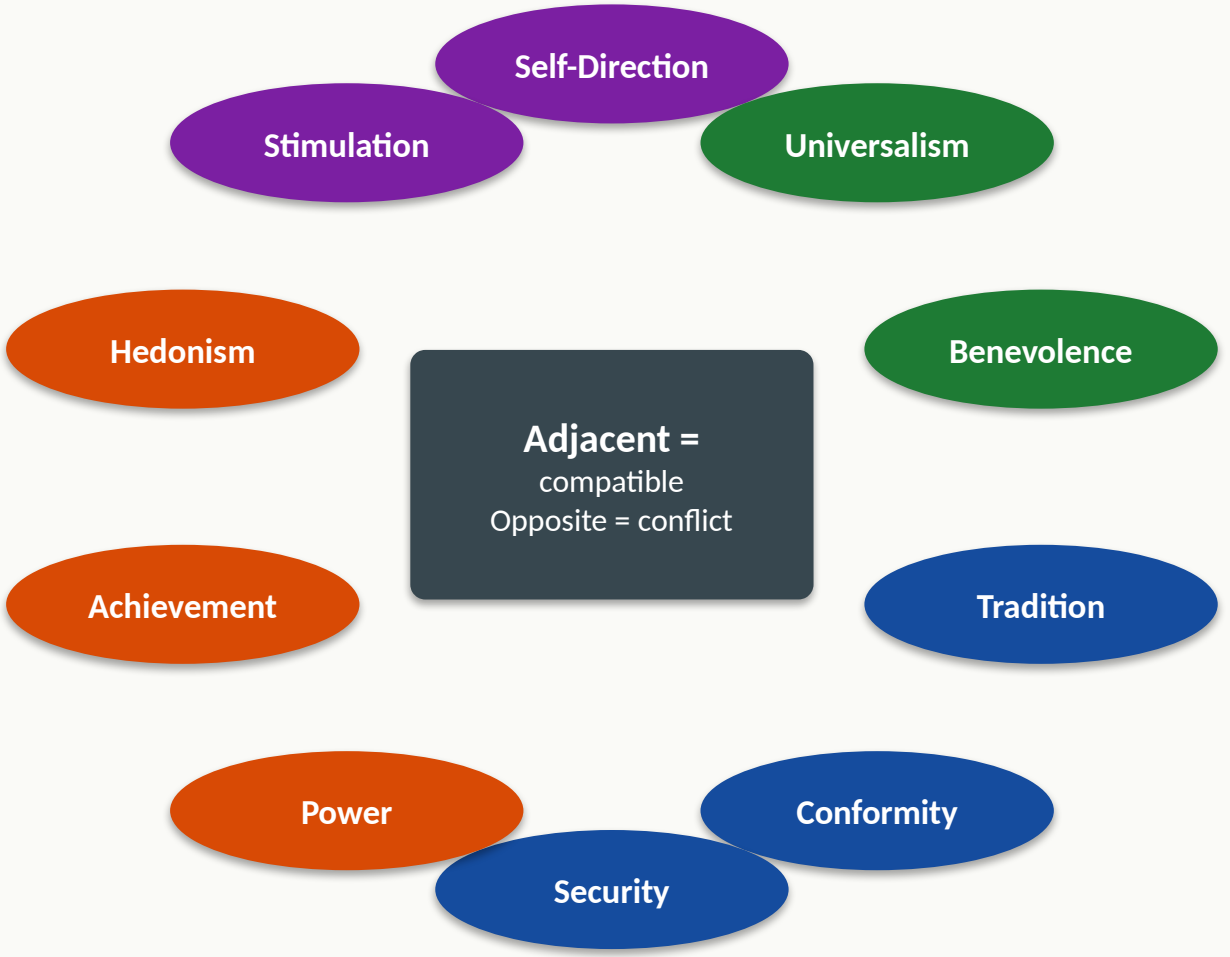
- Parents, childhood & life experiences, religion/spirituality, education, culture
- **Relatively stable**; can act outside awareness; change through major experiences & socialisation
- Vary across generations & cultures (p. 46)

Values in the OB process

- Values → perception → attitudes & motivation → decisions & behaviour → performance, commitment, cooperation
- Ex: forced ranking system: Achievement-valuer welcomes it; Cooperation-valuer sees it as harmful

Schwartz's Value Theory: 10 values in a motivational circle

Ch 2 pp. 43–46 · Fig 2.2



Higher-order dimension	Values	Opposes
Self-Transcendence: concern for others' welfare	Universalism (all people & nature), Benevolence (close others)	Self-Enhancement
Self-Enhancement: own success, dominance	Power (status, control), Achievement (competence by social standards)	Self-Transcendence
Openness to Change: independence, novelty	Self-direction, Stimulation (+ Hedonism shared)	Conservation
Conservation: order, preserve past	Security, Conformity, Tradition (share a wedge)	Openness

Key points

- **Relative importance** of opposing values drives behaviour (study for A vs climate meeting)
- Supported across cultures, children & adults

Workplace use

- Assign tasks to fit values: Paul (achievement) writes final report, not eco-ideas
- Universalism/benevolence → social-value projects
- Tradition > achievement → won't miss child's play

Hofstede's 6 cultural dimensions (national level)

1 Power Distance

- Acceptance of unequal distribution of power
- **e.g.** High: India, Malaysia · Low: Denmark, Austria

2 Individualism vs Collectivism

- Individual autonomy vs tight group ties
- **e.g.** Indiv: USA, UK · Coll: China, Indonesia

3 Uncertainty Avoidance

- Preference for rules, predictability, structure
- **e.g.** High: Japan, Greece · Low: Singapore, Denmark

4 Masculinity vs Femininity

- Competition, achievement, assertiveness vs cooperation, quality of life
- **e.g.** Masc: Japan · Fem: Sweden, Norway

5 Long-Term Orientation

- Pragmatic, future persistence vs short-term normative
- **e.g.** LTO: China, Singapore · STO: USA

6 Indulgence vs Restraint

- Free gratification vs strict social regulation
- **e.g.** Indulgent: Mexico · Restrained: Russia, India

Class example: Singapore

- Low power distance per class PPT (Hofstede score is 74, so mention both) · Collectivist · Masculine (achievement)
- Low uncertainty avoidance (entrepreneurial) · Long-term (planning, sustainability) · Restraint

Limitations (CAUTION)

- Country averages ≠ every individual
- Cultures are dynamic & diverse
- Use as hypotheses, NOT stereotypes

Mini-case: multicultural team

- Disputes on decision speed, hierarchy, risk
- Fix: clarify decision rights, escalation rules, risk thresholds

GLOBE: culture & leadership · Schwartz vs Hofstede vs GLOBE

GLOBE 9 cultural dimensions

- 1 Power distance
- 2 Uncertainty avoidance
- 3 Institutional collectivism
- 4 In-group collectivism (family pride/loyalty)
- 5 Gender egalitarianism
- 6 Assertiveness
- 7 Future orientation
- 8 Performance orientation
- 9 Humane orientation

6 culturally endorsed leadership styles

- **Charismatic/value-based**: vision, integrity
- **Team-oriented**
- **Participative**
- **Humane-oriented**: compassionate
- **Autonomous**: independent
- **Self-protective**: status, procedure, security
- **Practices ('As Is') vs Values ('Should Be')**: e.g., high PD now, egalitarian desired

	Schwartz	Hofstede	GLOBE
Focus	Individual value priorities & motives	National culture patterns	Culture ↔ leadership effectiveness
Level	Individual + cultural	Country	Society/ organisation
Count	10 values, 4 dimensions	6 dimensions	9 culture + 6 leadership
Best for	Value congruence, individual differences	Comparing mgmt across countries	Global leadership, HR adaptation

Classroom scenario: Indian manager, team from India, Germany, USA

- Power distance → Indians may wait for direction; Americans/Germans expect participation
- Collectivism → balance team rewards with individual recognition; set explicit norms for decisions & conflict
- Leadership: adapt participation & feedback; use **cultural intelligence, not stereotypes**

Take-home: Schwartz = WHAT people value; Hofstede/GLOBE = broad cultural expectations. Combine theory + observation + dialogue.

Values in action: generations, companies, leaders

Ch 2 p. 46 · Handouts 2 & 3

Cohort	Born / entered	Dominant work values
Boomers	1946–64 · entered 1965–85	Success, achievement, ambition, dislike authority, loyal to career
Gen X	entered 1985–2000	Work-life balance, team-oriented, dislike rules, loyal to relationships
Millennials	1980–2001	Confident, financial success, self-reliant but team-oriented; 9/11, Google, social media
Gen Z	1997–2012	Grew up in recession (saving), 10+ hrs on mobile, racial equality & inclusion

Dynamics of values (p. 46)

- Positive attitudes & motivation greatest when work environment matches values
- **Airbnb**: $2,000 annual travel credit because employees value 'embrace the adventure'
- Values attract talent: aligned hiring → lower turnover, higher engagement & customer satisfaction

Company	Core values
Tata	Integrity, Responsibility, Excellence, Pioneering, Unity
Infosys (C-LIFE)	Client value, Leadership by example, Integrity & transparency, Fairness, Excellence
Amazon	Customer obsession, Ownership, Invent & simplify, Bias for action, Frugality, Deliver results
Google	Respect the user, the opportunity, each other
PwC / EY	Integrity, make a difference, care, work together / courage to lead

Leaders' values (handout 3)

- Gandhi: Ahimsa, Satya · Mandela: reconciliation, Ubuntu · Ratan Tata: trusteeship · Premji: integrity, frugality
- Nadella: growth mindset ('learn-it-all'), radical empathy · Pichai: empowerment, composed resilience
- Contrast: Hitler, Kim Jong Un → values drive destructive ends too

Personal attitudes: ABC model, cognitive dissonance, Ajzen's TPB

Ch 2 pp. 47–52

	Values	Attitudes
Scope	Global, all situations	Specific objects/people
Affects behaviour	Variously	Via intentions

3 components (p. 49)

- **Affective**: 'I feel' (emotion: annoyed at phone-talkers)
- **Cognitive**: 'I believe' (it's rude)
- **Behavioural**: 'I intend' (I'll ask them to stop)
- Attitude = feelings/opinions about people, places, objects; positive ↔ negative
- Personal attitudes = INPUTS; workplace attitudes = OUTCOMES

Cognitive dissonance (Festinger, p. 50)

- Psychological discomfort from holding **conflicting cognitions** (ideas, beliefs, values, emotions)
- Megan values helping, but helping Rob costs her the $500 contest

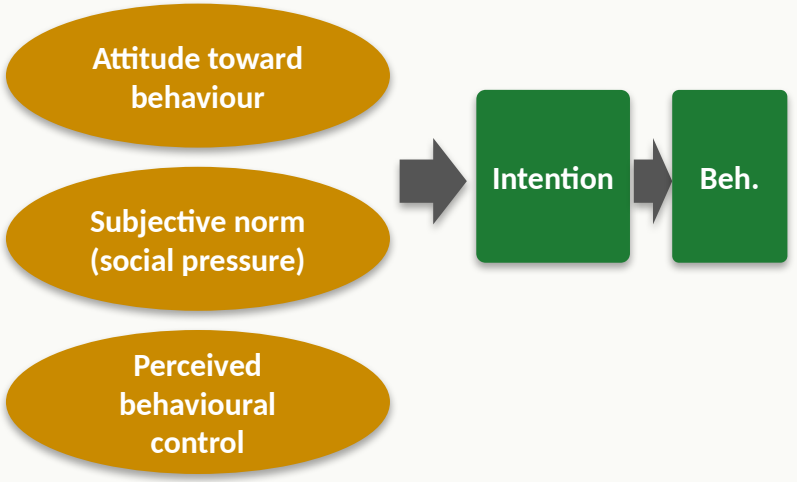
3 ways to reduce it

- 1 **Change** attitude or behaviour (or both)
- 2 **Belittle** the importance of the inconsistent behaviour
- 3 **Find consonant elements** that outweigh dissonant ones ('I need the laptop')

Exam use

- Employees asked to act against values (Bank of Baroda targets) → dissonance → rationalise or quit

Ajzen's Theory of Planned Behaviour (Fig 2.3)



Use it

- Intention = best predictor of behaviour (ask a 3rd party to ask if they'll quit)
- Change behaviour by working on the 3 motives (classmate's poor work: show benefit, model norm, remove obstacles)
- **McDonald's harassment strikes** (p. 51)

2.3 Four key workplace attitudes managers must track

Ch 2 pp. 53–58

1 Organisational commitment

- Extent an individual **identifies with org & commits to its goals** → stays + pursues goals
- Drivers: **person-culture fit**, personality, meaningful work, climate, leader, culture
- **Psychological contract** = perceived reciprocal exchange; **breach** → ↓ commitment, satisfaction, performance, ↑ quit
- Best practices: hire value-aligned, don't breach contracts, fairness & trust
- Hilton (#1 2019): execs spend a week on front lines · Salesforce: 'Ohana', $9M pay equity · Cisco: 'Our People Deal', flextime

2 Employee engagement

- **Kahn (1990)**: harnessing of self to work roles: physically, cognitively, emotionally; 'give their all'
- 4 feelings: **Urgency · Focus · Intensity · Enthusiasm**
- Drivers: Person (personality, PsyCap, human & social capital) + Situation (job characteristics, supportive leader, positive climate, few stressors)
- Gallup: engaged orgs → +10% loyalty, +20% productivity, +21% profit
- Ritz-Carlton hires on 12 values → turnover 28% vs 55%
- **India (p. 57)**: TCS upskilling & raises; Tata Motors 59%→71%; Hindalco 'Bhoomika' recognition

3 Perceived org support (POS) + 4 Job satisfaction

- **POS** = belief org values contributions & cares about well-being
- Works via **norm of reciprocity**; support must be **voluntary**, not forced by law/union
- REI: profit-sharing, subsidised medical, 30–50% discounts
- Benefits: ↑ performance, commitment, OCB, trust, innovation; ↓ quitting
- Foster: fairness, no politics, job security, no abusive supervision, fulfil psych contract
- **Job satisfaction** → next slide

2.4 Job satisfaction & its 5 causes

Ch 2 pp. 59–62 · Table 2.4

Definition & measurement

- **Affective/emotional response toward facets of your job**; not monolithic
- Single global rating OR facets: **JDI** (work, pay, promotions, coworkers, supervision); MSQ
- US: 51% satisfied (2018), 7th straight rise

Telecommuting: 'A Shorter Walk to Work'

- ~50% of US workforce teleworks part-time; +140% (2005–16)
- ↑ productivity, retention; ↓ absenteeism
- India best practice (p. 62): hybrid (NatWest 40% office), flexible start (Philips, SAP Labs), outcome metrics, unlimited/wellness leave (Adobe India), stipends

Model	Idea	Manager action
1 Need fulfilment	Job lets you meet your needs	Learn & meet needs (SHRM #1: respectful treatment)
2 Met expectations	Expectations vs what you actually get	Realistic job previews; meet promises
3 Value attainment	Job fulfils your important values	Assignments & rewards that fit values
4 Equity	Fair outputs/inputs vs others	Monitor & manage fairness perceptions
5 Dispositional / genetic	Traits & genes: **~30%** of satisfaction	Hire for disposition (stronger for intrinsic facets)

Exam trick: diagnose dissatisfaction in a case by testing ALL FIVE causes. Orix: met expectations (employees expected raises) + equity (customised pay). DOR: value attainment + need fulfilment via fun & recognition despite low pay. Southwest: need fulfilment + met expectations.

2.5 Consequences of job satisfaction (10 correlates)

Ch 2 pp. 63–68

ATTITUDINAL (4)
Motivation (+) · Job involvement (+) · Withdrawal cognitions (−) · Perceived stress (−)

BEHAVIOURAL (4)
Job performance (+, moderate) · OCB (+) · CWB (−, strong) · Turnover (−)

ORGANISATIONAL (2)
Financial performance (+, weaker) · Customer satisfaction (+, spillover)

Performance & OCB

- Satisfaction–performance: **moderate & complex**; each influences the other indirectly (7,000 people, 3 yrs)
- **OCB** = discretionary behaviour, not formally rewarded, aggregate improves functioning (Organ)
- Examples: constructive statements, interest in others' work, suggestions, training newcomers, caring for property, punctuality
- OCB → better appraisals, ↓ quits; org: productivity, efficiency, customer satisfaction

Counterproductive work behaviour

- Harms employees, org or stakeholders: bullying, theft, gossip, sabotage, tardiness, harassment, cyberloafing
- IKEA worker's $400K refunds; fake invoices $1.2M
- **India (p. 67)**: absenteeism (up to 20%), time theft, payroll fraud, bribery, nepotism, caste discrimination, credit stealing, insider trading
- Reduce: hire carefully (cognitive ability, personality) · design satisfying jobs, remove abusive bosses · respond quickly

Turnover & withdrawal

- Withdrawal cognitions precede quitting; 31% leave within 6 months (bad boss, job ≠ interview)
- Cost ≈ 20% of salary (hourly); more for specialists
- Reduce: hire for culture fit · foster engagement · selective hiring with analytics · onboarding · reward high performers
- **Spillover**: satisfied employees → satisfied customers (Southwest!)
- Stress: detach from work off-hours

Job satisfaction: reality or myth? McKinsey 'Great Attrition' (2021)

The evidence

- 19M+ US quits since April 2021; 40% likely to quit; 64% expect turnover to persist
- 36% quit with NO job in hand; 45% cited family-care needs
- Hospitality 47% likely to leave

Employees said they left because...	Employers thought...
Not valued by org (54%)	Compensation
Not valued by manager (52%)	Work-life balance
No sense of belonging (51%)	Poor health

Core insight

- **Relational vs transactional** disconnect
- Pay raises/bonuses feel transactional; people want to feel valued, connected, included
- 'Listen → Understand → Act'

5 actions: Attrition → Attraction

- 1 Listen systematically (involve employees) · 2 Strengthen managers & hybrid leadership
- 3 Redesign benefits (childcare: Patagonia ~100% new-mother retention) · 4 Career paths & recognition (Waffle House)
- 5 Build community: flexibility + connection (coffee chats, staycations)

2.6 Takeaways for managers (p. 69)

- Hire people whose values match the culture · reinforce beliefs to change behaviour
- Commitment is emotional: build team spirit · stay positive & model engagement
- Many quit within 1 year → discuss expectations & socialise newcomers
- **Verdict for 'myth?' essay**: satisfaction is REAL & measurable, but money alone won't buy it

MODULE 3: Emotions & Social Perception

Ch 3.5–3.6 · Ch 4.1–4.3 · R3 · Cases 7 & 8

SESSION 8: Emotional dynamics
Does emotion affect organisational effectiveness? · Ch 3.5 EI, 3.6 Emotions · R3 · Case 7 Prudence

SESSIONS 9–10: Social perception
Attribution, stereotypes & biases · Ch 4.1 Perception, 4.2 Stereotypes, 4.3 Attributions · Case 8 Yelp

Emotions toolkit

- Emotional intelligence (Goleman 4 domains)
- Felt vs displayed emotions
- Goal congruence: +, –, mixed
- Past (anger) vs future (fear)
- Display norms; managing anger
- R3: resistance = emotional data

Perception toolkit

- 4 stages of social perception; schema
- Person perception: perceiver · target · situation
- Implicit cognition (bias)
- Stereotypes: form → maintain → reduce
- Prudence's 'maze' of metaphors

Attribution toolkit

- Kelley: consensus, distinctiveness, consistency
- Internal vs external attributions
- Fundamental attribution bias
- Self-serving bias
- Yelp hiring: where bias enters & how to fix it

3.5 Emotional Intelligence (EI): Goleman's 4 domains

Ch 3 pp. 105–110 · Table 3.6

EI = the ability to monitor your own and others' emotions, discriminate among them, and use this information to guide thinking and actions. A mix of personality + emotions; builds on Gardner's inter- & intra-personal intelligences.

SELF-AWARENESS

Emotional self-awareness · accurate self-assessment · self-confidence

PERSONAL competence

SELF-MANAGEMENT

Self-control · transparency · adaptability · achievement · initiative · optimism

PERSONAL competence

SOCIAL AWARENESS

Empathy · organisational awareness · service

SOCIAL competence

RELATIONSHIP MGMT

Inspirational leadership · influence · developing others · change catalyst · conflict mgmt · building bonds · teamwork

SOCIAL competence

Benefits & the dark side (p. 109)

- ✔ Better relationships, well-being, satisfaction; store managers' EI → team cohesion → sales; creativity
- ✘ High-EI people fake personality tests better; can manipulate (fake empathy)
- Fig 3.6: EI is **NOT** the big driver of performance consultants claim (weak-moderate links)

How to develop EI (Goleman & Nevarez)

- 1 How do I see myself vs how others see me? (self-assessment + feedback)
- 2 What matters to me? (goals)
- 3 What changes will I make? (plan + practice)
- EI is more flexible than IQ → can be developed lifelong (Fig 3.7: EQ → career readiness)

Low EI in action: Uber's Travis Kalanick · Dark Triad (Indian research)

Ch 3 pp. 107–108

Problem-Solving Application: Darkness in the C-Suite at Uber

- Scandals: sexual harassment, driver misconduct, surge pricing during JFK taxi strike; Kalanick called it a **PR problem, not a culture problem**
- Viral video: argued with & blamed an Uber driver; 'apology' meeting he doubled down
- Bullying, retaliation against HR complainants; praised then tore people down; President Jeff Jones quit within months
- Checklist: grandiose · **lack of empathy** · arrogant · entitled → narcissism

Indian research on Dark Triad (2022)

- Dark Triad = **Machiavellianism, narcissism, psychopathy**
- Relationship with performance is **curvilinear**: moderate levels help (strategic thinking, confidence, risk-taking), esp. in competitive jobs; high levels hurt
- Workplace spirituality (WPS) reduces perceived incivility & silence, but dark traits **nullify** WPS benefits

3-step answer (Uber)

- **Problem**: toxic culture → harassment, turnover, reputation loss
- **Causes**: low social awareness (empathy) & relationship mgmt; dark traits; self-serving attributions ('drivers lack responsibility')
- **Fix**: board-led EI coaching / leadership change, 360° feedback, values & complaint systems

Use in answers

- Leader behaviour = situation factor for followers' emotions & silence
- Link to R2 (Andy's destructive behaviour has emotional origins) and R3 (leaders must manage their OWN emotional reaction to resistance)

3.6 Understanding emotions to influence performance

Ch 3 pp. 111–115

What are emotions? (p. 111)

- **Complex, relatively brief responses aimed at a target** (person, info, event) that change psychological/physiological states
- **Felt** vs **displayed** emotions (passed over for promotion: feel angry, display calm)
- Emotions motivate behaviour & communicate; trained display → higher tips

Emotions & goals (p. 112)

- **Positive** = goal-congruent: joy, gratitude, pride, relief
- **Negative** = goal-incongruent: anger, fear, anxiety, guilt, shame, envy, disgust
- **Mixed**: promotion that requires relocating
- More important goal → more intense emotion

Past vs future (p. 113)

- After 15% downsizing, survivors:
- **Shelby: ANGER** = backward-looking (retrospective): how decisions were made → address fairness of process
- **Jennifer: FEAR** = forward-looking (prospective): might I be next? → reduce uncertainty, communicate

Display norms & anger at work

- Display norms = expected emotions per situation (calm in meetings, happy with customers)
- Crying at work: 38% OK occasionally · 31% no effect · 32% never OK
- Shame/anger in feedback → CWB; customer aggression → employee mistakes
- Anger helps when aimed at **issues, not people** (Cornell Iron Works: brief, frequent meetings)

Handling negative emotions (Table 3.7)

- Fearful: is my career really at risk?
- Rejected: do I respect the source? ask to clarify
- Angry: get distance, find the violated standard, communicate it
- Frustrated · stressed: prioritise important over urgent

Procrastination = emotions! (p. 112)

- Procrastinating is a way to cope with **anxiety/stress**
- Fix: subgoals · just start · envision benefits · reward yourself

R3: Treat Resistance to Change as Valuable Data (Carucci, HBR)

Emotions + perception + attribution

Core claim: ALL resistance is meaningful data. Labelling it 'knee-jerk' judges the PERSON (fundamental attribution bias) instead of reading the SIGNAL: fear, loss, confusion, overload, or a real flaw.

3 traps leaders fall into

- **1 Personalising**: seeing pushback as disrespect toward the leader
- **2 Moralising**: 'are you a team player?' shuts dialogue
- **3 Rushing to resolution**: persuading harder, escalating authority
- Pushing harder drives resistance **underground**: silence ≠ alignment

Category	Employee's question	Looks like	Leader response
LOSS	What am I losing?	Defending old way, clinging to decision rights, overstating risks	Name the loss · honour the old way · re-anchor their value in the future
ANXIETY	What does this mean for me?	Disengaged, overwhelmed	Communicate consistently (repeat) · normalise uncertainty · space for questions
LACK OF CONTROL	Why is this being done to me?	Passive compliance, minimal effort (beware 'faux-inclusion')	Be explicit where input matters · involve early · co-create
FLAWS IN CHANGE	This doesn't actually work.	Points out unrealistic timelines, process mismatch	Get curious before corrective · separate signal from delivery · adapt the plan

'Hold the line' (honour emotion, hold behaviour)

- 1 Name behaviour & impact without judgement · 2 Separate person from expectation · 3 Follow through consistently: escalate clarity, not emotion
- Links: emotions (fear/anger), voice & procedural justice (Ch 5), behavioural problems (resistance to change)

Case 7: Prudence in a Maze of Metaphors (IMD 2024): individual differences

Gender & career barriers

Metaphor	Meaning	Metaphor	Meaning
Sticky Floor	Societal/self-imposed limits that keep women at the bottom	Mansplaining	Condescending explanations assuming women know less
Leaky Pipeline	Gradual loss of women at each career stage	Double Bind	Conflicting demands: be assertive AND nurturing
Glass Ceiling	Invisible barrier to top roles	Motherhood Penalty	Assumed lower commitment after children
Glass Cliff	Risky leadership roles given in crises → higher failure	Second Shift / Invisible Job	Unpaid home labour + unseen mental load
Queen Bee	Senior women distancing from junior women ('earn your stripes')	Imposter Syndrome	Internalised self-doubt despite success
Intersectionality	Overlapping disadvantages (race, age, disability, class)	The Maze	Many barriers across the whole journey

OB lenses to apply

- **Perception & stereotypes**: gender role stereotypes (Ch 4.2), implicit cognition
- **Attribution**: boss attributes leaving early to low commitment (FAE)
- **Emotions**: exhaustion, unease, self-doubt
- **Core self-evaluation**: imposter syndrome ↓ self-efficacy
- **Values conflict**: family (benevolence) vs achievement

Answer frame: Problem = talented women exit/plateau (leaky pipeline). Causes = stereotypes + double bind + motherhood penalty (situation factors), imposter syndrome (person factor). Recommendations = structured & blind evaluation, flexible work & i-deals, sponsorship/mentoring, inclusive culture, fair attribution training, shared parental norms.

4.1 The perception process: 4 stages of social information processing

Ch 4 pp. 126–128 · Fig 4.2

Perception = cognitive process that enables us to interpret & understand our surroundings. We act on our perception of reality, NOT reality itself.

1 SELECTIVE ATTENTION / COMPREHENSION	2 ENCODING & SIMPLIFICATION	3 STORAGE & RETENTION	4 RETRIEVAL & RESPONSE
Bombarded by stimuli, we notice **salient** ones (stand out from context); needs & goals decide salience	Raw info → cognitive categories & **schema** (mental picture: red 2-door = sports car)	Long-term memory: **event** (scripts), **semantic** (concepts, e.g., good leader), **person** memory	Judgements: integrate stored info OR recall a summary judgement already made

Book example: choosing a personal-finance professor

- Ask friends & profs (attention) → focus on teaching method, tests, grades (encoding) → store schemata → on registration day pick case-method prof (retrieval)

Winning at Work (p. 125): Rahul Verma, PSU

- Excellent but invisible worker; never spoke up or led → passed over. Committee perceived 'good worker, not a leader'
- Lesson: performance ≠ potential ≠ **visibility**; perception drives promotions (ONGC/BSNL favouritism)

A model of person perception & its managerial implications

Ch 4 pp. 128–132 · Fig 4.3

Perceiver characteristics (6)

- Direction of gaze
- Needs & goals
- Experience with target
- Category-based knowledge (stereotypes)
- Gender & emotional status
- **Cognitive load** (tired → more stereotyping)

Target characteristics (5)

- Direction of gaze
- Facial & body shape (height → prosperity; weight → 'lazy')
- Nonverbal cues
- Appearance/dress (tattoos: no real effect on employment)
- **Physical attractiveness** ('beauty-is-good')

Situation characteristics (2)

- **Context** of interaction (texting at dinner vs meeting)
- **Culture & race consistency** (Finnish managers' 'silent' laughter)
- Cultural awareness: know what you don't know · don't judge prematurely · homework · good manners · reach out · build diverse teams

Hiring: implicit cognition

- **Implicit cognition** = thoughts/beliefs auto-activated from memory without awareness (implicit bias)
- Women described as 'caring', men 'decisive' in reference letters
- Fix: bias training · **structured interviews** · multiple interviewers · virtual/blind interviews (Automattic)

Performance appraisal

- Faulty perceptions → inaccurate ratings, low morale
- Female CEOs succeed when male predecessors act as gender-neutral 'gatekeepers'
- Fix: objective measures, **performance diary**, train raters

Leadership & other errors

- Leader prototypes: assigning tasks, praising, setting goals = 'effective'
- Also use: **halo**, **recency**, **contrast**, **similar-to-me**, **self-fulfilling prophecy (Pygmalion)**, selective perception

4.2 Stereotypes: how they form, persist and how managers reduce them

Ch 4 pp. 133–134

Stereotype = an individual's set of beliefs about the characteristics or attributes of a GROUP. Used automatically; can be positive (engineers good at math) or negative; accurate or not; but lead to poor decisions.

Evidence (p. 133)

- **Gender**: men preferred for male-typed jobs; female founders get less VC money; women of colour hit hardest
- **Race**: more perceived discrimination, less support → worse attitudes, health, OCB
- **Age**: belief older workers are less motivated, resistant, unhealthy: **refuted**
- **Cancer patients/disability**: discriminatory decisions

1 CATEGORISATION
group people by gender, age, race, job

2 INFERENCES
all in category share traits

3 EXPECTATIONS
interpret behaviour via stereotype

4 MAINTENANCE
overestimate stereotypic acts, explain away exceptions, 'differentiate minorities from ourselves'

- Link → Prudence (double bind), Yelp (tech-bro hiring), Rahul (quiet = not leader)

3 managerial recommendations

- **1 Educate** people about stereotypes; LinkedIn: recruiters open men's profiles more → anonymous hiring (remove names, photos)
- **2 Contact**: diverse employees work together in cooperative groups of **equal status**
- **3 Awareness**: everyone monitors own stereotypes in decisions
- Needs accurate info + motivation to reduce stereotyping

4.3 Causal attributions: Kelley's model & attributional biases

Ch 4 pp. 135–137

Attribution theory

- **Causal attributions** = suspected/inferred causes of behaviour
- **Heider**: internal (ability, effort) vs external (task difficulty, luck)
- Table 4.1: lack of effort → reprimand; lack of ability → training

Dimension	Compares...	INTERNAL	EXTERNAL
Consensus	person vs PEERS on same task	LOW	HIGH
Distinctiveness	this task vs person's OTHER tasks	LOW	HIGH
Consistency	same task over TIME	HIGH	LOW

Example (p. 136): Mary

- **Internal**: Mary outperforms peers (low consensus) and always has (high consistency) → it's Mary
- **External**: Mary performs like peers (high consensus) but worse than her usual (low consistency) → it's the situation

Two biases (p. 137)

- **Fundamental attribution bias**: over-attribute others' behaviour to personal traits, ignoring situation
- **Self-serving bias**: my success = my ability/effort; my failure = bad luck, unfair teacher

Managerial implications

- Effort attribution → frequent negative feedback; ability → transfer; external → no action
- Remember: performance = f(person × situation)
- Attributing failure to low ability → give up, ↓ self-esteem; success to ability/effort → ↑ performance

Case 8: Managing Diversity & Inclusion at Yelp (HBS 2023)

Social perception & managing diversity

Facts

- 2014 tech diversity wake-up: >80% technical roles male; Google: 17% women in tech, 2% Black
- Yelp: ~10% women in tech; 7% Hispanic, 4% Black; 600+ engineers; hires ~30 entry engineers from thousands
- CEO Stoppelman & COO Donaker hire **Rachel Williams** (psych grad, ex-Yelp recruiter) as first Head of D&I; COO joins her meetings

OB diagnosis

- Stereotypes + implicit cognition in unstructured, 'fit'-based stages; homogeneous decision makers
- Diversity ≠ inclusion: employees not psychologically safe

Hiring stage (2014)	Where bias can enter
Campus visits (select schools)	Pipeline/sourcing bias: who even applies
Recruiter résumé screen	Name/school heuristics, implicit cognition
Online code test	Fairly objective ✔️
Recruiter 1–3 score on coursework	Subjective, halo
45-min Skype audio + coding	Voice reveals gender; unstructured
4 onsite interviews ('culture fit')	Uncoordinated, similar-to-me bias
'Stoppelgangers' decide disagreements	Clones of one leader's judgement

Rachel's options

- Listening tour (2 months): fears of being seen differently, not being 'full selves'
- Revamp rookie hiring · diversity targets/quotas · **blind résumés** · voice-changing phone screens
- Promote/hire diverse seniors
- Affinity groups · bias training

Recommend: structured interviews with rubrics + diverse panels; blind early screens; widen campus list; replace 'culture fit' with 'culture add'; ERGs & inclusion training; track funnel data by stage; make the business case (talent, product for diverse users). Debate quotas (fairness perceptions!).

MODULE 4: Foundations of employee motivation: what & why

Ch 5 pp. 165–168 · Motivation PPT

Motivation = psychological processes that underlie the DIRECTION, INTENSITY and PERSISTENCE of behaviour or thought (Latin movere = to move). Session question: 'Do motivation theories accurately explain motivation in real organisations?'

DIRECTION
What is the employee focusing on? (customer problem vs social media)

INTENSITY
How much effort? (energy on a complex complaint)

PERSISTENCE
How long does effort continue? (re-testing a software fix)

Content vs process theories (p. 168)

- **Content** = WHAT internal needs energise us: Theory X/Y, Maslow, McClelland, SDT, Herzberg
- **Process** = HOW person + situation factors shape effort choices: Equity/Justice, Expectancy, Goal-setting
- Plus **job design**: top-down, bottom-up, i-deals

Mini-case: the reluctant analyst (PPT)

- Good salary, repetitive work, rare feedback, stopped volunteering
- Not 'lazy': **job design** (low variety, feedback) + intrinsic needs unmet
- Collect data before labelling; redesign job

Intrinsic vs extrinsic (p. 167)

- **Extrinsic**: external rewards (money, recognition, promotion). Southwest: $544M profit-sharing (~10.8% pay), 45 yrs running
- **Intrinsic**: positive internal feelings from doing well (mastery, meaning, pride). Taft shoes founders
- Risk: extrinsic can narrow focus / crowd out interest

Golden rule (PPT slide 39)

- Don't label every performance problem as motivation: check expectations, ability, resources, fairness, job design first

5.2 Content theories I: McGregor's Theory X/Y & Maslow's hierarchy

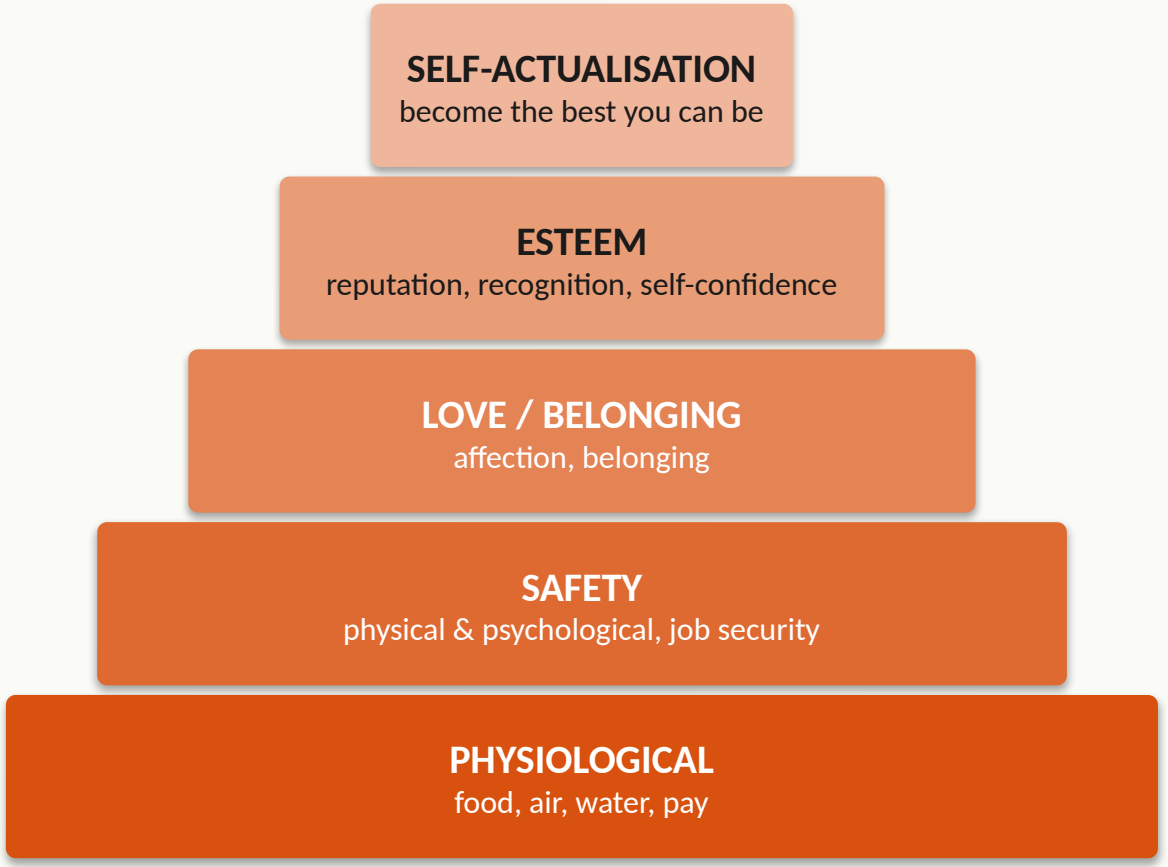
Ch 5 pp. 169–170

Theory X (pessimistic)

- Employees dislike work, avoid responsibility
- Must be monitored; 'carrots & sticks'
- → micromanagement climate: compliance, low initiative (call-centre tracking every minute)

Theory Y (positive)

- Self-engaged, committed, responsible, creative
- Theory Y managers → higher performance, satisfaction, commitment, OCB
- Balance: autonomy + clarity; supervise where risk requires



Maslow (1943): needs are 'prepotent'; satisfied needs stop motivating

- SC Johnson concierge; small firms: flexibility, recognition, involvement · research doesn't support the strict ladder

Maslow in India (PPT)

- **Early career**: income, safety, belonging, onboarding
- **Mid-career**: recognition, growth, responsibility, flexibility
- **Experienced**: meaning, mentoring, legacy, autonomy
- Ask employees; don't assume

Content theories II: McClelland's needs & Self-Determination Theory

Ch 5 pp. 170–174

McClelland: needs are LEARNED (acquired)

- **Achievement (nAch)**: excel, overcome obstacles, surpass others; likes challenging-but-attainable goals & feedback → give stretch projects
- **Affiliation (nAff)**: be liked, belong, cooperate → team projects, buddy systems
- **Power (nPow)**: influence, coach, teach → coordination roles. **Institutional** power (organise for org goals, ✔️) vs **personal** power (control, manipulate, ✘)
- Apply when setting goals, giving feedback, assigning tasks, designing jobs

Self-Determination Theory (Deci & Ryan)

- 3 **innate** needs → intrinsic motivation → performance & well-being:
- **Competence**: 'I need to feel efficacious' → training, tools, coaching (Amazon month-long onboarding)
- **Autonomy**: 'I need to influence my environment' → empower, delegate (Schneider Electric)
- **Relatedness**: 'I want to be connected' → fun, camaraderie, vision (23andMe gender balance)

OB in Action: Cameron Mitchell Restaurants (p. 172)

- Ran away as a teen, dishwasher → 32 restaurants, $300M; rejected by Culinary Institute → more driven (**nAch**)
- 'Associates are #1': collegial climate (**nAff**), develops managers, gives menu autonomy (**institutional nPow**)

Warnings & contrast

- Autonomy without resources feels like **abandonment**; belonging shouldn't require conformity; feedback for learning, not humiliation
- McClelland = learned; SDT = innate. Neither covers lower-order needs (Fig 5.5)

Herzberg's motivator–hygiene theory: two separate continua

Ch 5 pp. 174–177 · Fig 5.4–5.5

203 accountants & engineers: satisfaction & dissatisfaction are NOT opposites

Dissatisfaction → **No dissatisfaction**

HYGIENE factors = job CONTEXT (extrinsic)

- Company policy & administration · technical supervision · salary · interpersonal relations with supervisor · working conditions · job security
- Fixing them only removes dissatisfaction

No satisfaction → **Satisfaction**

MOTIVATORS = job CONTENT (intrinsic)

- Achievement · recognition · the work itself · responsibility · advancement · growth
- Only these create satisfaction & motivation → basis of **job enrichment**

Applying it (p. 176)

- **1 Hygiene first**: fix pay dissatisfaction before motivating
- **2 Motivation next**: build motivators into jobs
- **3 A few well-chosen words**: recognition fuels intrinsic motivation
- Authors' critique: good hygiene CAN motivate (REI pays well → low turnover)

Hospitality example (PPT)

- Hygiene problems: payroll errors, understaffing, unsafe conditions, poor supervision
- Motivators: recognition for guest recovery, responsibility for improvements, development paths

Maslow	McClelland	SDT	Herzberg
Self-actualisation, Esteem	Achievement, Power	Competence, Autonomy	Motivators
Love / belonging	Affiliation	Relatedness	(Hygiene: relations)
Safety, Physiological	—	—	Hygiene factors

5.3 Process theories I: Equity theory (J. Stacy Adams)

People strive for fairness in give-and-take exchanges. Perceived inequity → cognitive dissonance → motivation to correct it (Tyson poultry workers denied bathroom breaks → pressure → reforms).

MY outcomes
÷ MY inputs

vs

OTHERS' outcomes
÷ OTHERS' inputs

Result	Perception	Typical reaction
Equity	My ratio = other's	Satisfied
Negative inequity	I'm under-rewarded	Dissatisfied, anger, ↓ effort, quit
Positive inequity	I'm over-rewarded	Guilt (maybe); others see negative inequity

Inputs

- Education/training, skills, creativity, seniority, age, personality, **effort**, experience, appearance, emotional labour

Outcomes (outputs)

- Pay/bonus, benefits, challenging assignments, job security, promotion, status symbols, recognition, participation, flexibility

Reducing inequity

- Ask for raise/promotion (↑ outcomes)
- Work less (↓ inputs)
- Cognitively re-value outcomes/inputs
- Change comparison person
- Leave

Key facts

- Compare with **similar, close others**
- PayScale: ~90% paid ABOVE market think they're underpaid
- Feelings about pay **process** 5× more impactful than pay level
- **Equity sensitivity** differs by person

Organisational justice: distributive, procedural, interactional

Ch 5 pp. 180–183 · Fig 5.7

DISTRIBUTIVE

- Perceived fairness of how resources & rewards are ALLOCATED
- **e.g.** Robert W. Baird: everyone's office the same size

PROCEDURAL

- Perceived fairness of the PROCESS used to make allocation decisions
- **e.g.** Consistent criteria, voice, appeals

INTERACTIONAL

- Quality of interpersonal TREATMENT when procedures are implemented
- **e.g.** Dignity, respect, explanations

Research (Fig 5.7)

- Distributive & procedural justice have the **strongest** links to outcomes; interactional weakest
- Strongest outcomes: **job satisfaction & organisational commitment**
- Most links weak → justice works for some outcomes, not all

5 practical lessons

- **1 Perceptions count** (survey regularly; men more sensitive to pay inequity)
- **2 Give voice** & create a voice climate (Salesforce Office of Ethical Use)
- **3 Appeals process**
- **4 Leader behaviour matters** (Merck CEO Frazier resigned from council)
- **5 Climate for justice**: don't let customers abuse staff

PPT: justice during restructuring

- Roles removed; staff got different notice/explanation
- Distributive: who lost jobs/roles? Procedural: criteria, consultation, appeal? Interactional: respectful, honest communication
- Voice: consult, explain criteria; Appeals: grievance, no retaliation, close the loop

Expectancy theory (Vroom): Motivation = E × I × V

Ch 5 pp. 183–187 · Fig 5.8

EFFORT → **PERFORMANCE** → **OUTCOMES** → **VALUE to me?** → effort decision

EXPECTANCY (E)

- **'Can I achieve the performance?'**
- Effort → performance belief (probability 0–1). Raised by self-efficacy, ability, resources, training, support. Excel example: 0 → ~1 after training

INSTRUMENTALITY (I)

- **'Will performance get me the reward?'**
- Performance → outcome link. Broken by delayed/changed incentive rules. Navy bonuses $5K–$25K+

VALENCE (V)

- **'Do I value the reward?'**
- Positive/negative value of outcomes; personal preferences (Aflac appreciation week)

PPT case: sales incentives

- E ✔ staff believe effort raises sales · **I ✘** rules change, payouts delayed · **V ✘** some don't value reward
- Fix: stable, timely, credible payouts; let employees choose rewards

Book cases

- **Chicago Symphony strike**: pension cut breaks instrumentality/valence
- **Principal Tim Richard** 'Celebration': link valued reward (28 min outside) to no Fs → 1,200 → 900 failing

Any ONE link at zero → motivation collapses (multiplicative). In a case, diagnose E, I and V separately.

Goal-setting theory (Locke & Latham)

The theory (1,000+ studies)

- **Specific & difficult** goals → higher performance than 'do your best'
- Necessary conditions: **ability, resources, commitment**
- Feedback & participation help only if they produce commitment to a specific, difficult goal (PwC's Julia Lamm)
- Goal achievement → satisfaction → higher goals (upward cycle)

1 DIRECT ATTENTION	Focus on relevant tasks; prioritise (KFC packaging goal)
2 REGULATE EFFORT	Harder goals & deadlines → more effort
3 INCREASE PERSISTENCE	Effort over time (Kinicki's marathon)
4 FOSTER STRATEGIES	Action plans (Memphis 800 Initiative); subgoals beat procrastination

SMART (PPT)

- Vague: 'improve customer service'
- SMART: 'raise post-stay score from 4.1 to 4.4 next quarter'
- + staffing, training, feedback safeguards

Risks: targets can distort behaviour

- Gaming metrics · unethical shortcuts · stress · neglect of unmeasured work · harmful competition
- **Volkswagen** emissions cheating (>$35B) from impossible CEO targets · **Bank of Baroda** app quotas (Ch 1)

Managerial response

- Balanced measures · review HOW targets are met · allow learning & adjustment · reward collaboration
- Set **challenging but attainable** goals (Simone Biles sets specific medal goals)

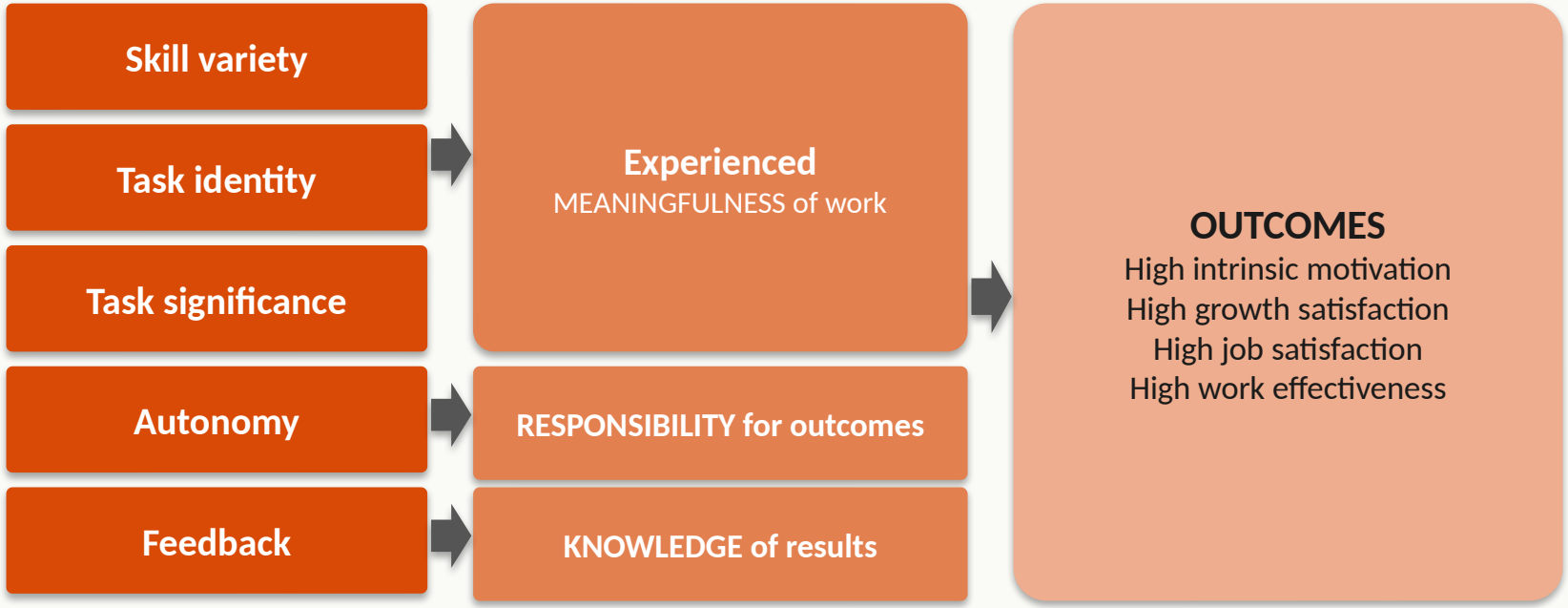
5.4 Job design I: top-down approaches & the Job Characteristics Model

Ch 5 pp. 190–194 · Fig 5.9–5.10

Top-down (management designs)

- **Scientific management** (Taylor): most efficient way; ↑ productivity but repetitive → dissatisfaction, stress
- **Job enlargement** = **horizontal** loading: more tasks of similar difficulty; little lasting effect alone
- **Job rotation**: move across jobs → broader view, cross-training, flexible scheduling, talent pipeline (rotational programs, job swaps)
- **Job enrichment** = **vertical** loading (Herzberg): more responsibility, autonomy, recognition ('Final Friday' free project days; bank employee owns full customer journey)

Job Characteristics Model (Hackman & Oldham)



Moderators (not everyone wants it)

- 1 Knowledge & skill · 2 **Growth need strength** · 3 Context satisfactions (pay, coworkers, supervision)

Evidence & tips

- Dropbox: no annual reviews, real-time feedback; redesign → +28% performance quality
- MPS = (SV+TI+TS)/3 × A × F (autonomy & feedback are critical)

Job design II: job crafting (bottom-up) & i-deals (negotiated)

Ch 5 pp. 194–198 · Table 5.2

Form of job crafting	Change	Example (Table 5.2)
Task crafting	Number, scope, type of tasks	Design engineers move projects to completion faster
Relational crafting	Quality/amount of interactions	Hospital cleaners care for patients & join floor workflow
Cognitive crafting	How you think about tasks/relationships	Nurses see 'insignificant' tasks as patient advocacy; hotel cleaner = 'creating a safe welcome' (PPT)

India: HCL 'Employees First, Customers Second'

- Radical transparency: open financial dashboards, employee problem-solving forums, decentralised decisions
- Builds autonomy, trust, ownership → engagement, role clarity, intrinsic motivation

Job crafting facts

- Employee-driven; based on empowerment & intrinsic motivation; goal: meaning
- 90% would earn ~23% less for meaningful work
- Logitech pilot → engagement; manager support: safe experiments, no invisible extra work

Idiosyncratic deals (i-deals)

- Employment terms **individually negotiated** (Rousseau): tasks, schedule, location, pay, development
- ↑ POS, satisfaction, voice; ↓ quitting (RSM)
- Caution: transparency & **perceived fairness** (equity!)

Flexible work in India (Saini & Yadav)

- Commutes & family stress → flexibility supports work-life balance, autonomy, well-being
- Needs manager support, communication, trust-based (not control-based) management
- Risk without support: isolation, work escalation

Putting it together: motivation diagnosis & manager's checklist

Motivation PPT slides 39–51 · Ch 5 p. 198

Diagnostic question	If NO → root cause	Theory / fix
Does the employee know what is expected?	Role ambiguity	Goal setting (SMART), feedback
Do they have ability & resources?	Capability / resource gap	Expectancy (E), SDT competence, training
Are rewards credible & valued?	Broken I or V	Expectancy, McClelland, Maslow, i-deals
Is the process fair?	Inequity / injustice	Equity, procedural justice, voice
Is the job well designed?	Low meaning, autonomy, feedback	JCM, enrichment, crafting
Are basic conditions OK?	Hygiene dissatisfaction	Herzberg: hygiene first

Common manager mistakes

- Assuming money motivates everyone
- Targets without resources
- Autonomy without support
- Ignoring unfairness
- Rewarding outcomes, ignoring methods
- Treating everyone identically
- **Better**: diagnose first, use voice, adapt to individuals, evaluate over time

INPUTS
needs, values, job characteristics, leadership, climate, resources

→

PROCESSES
fairness comparisons, expectancy judgements, goal commitment, feedback, voice

→

OUTCOMES
effort, performance, engagement, OCB/CWB, turnover

Case 5: Orix Geoscience: Scaling Up Employee Engagement (Ivey 2018)

Motivation case · Session 11–12

Context

- Toronto geological consulting (Organise, Rethink, Interpret, Explore); founded 2012 by **Shastri Ramnath** & Ashley Kirwan
- Mining = cyclical; talent war in upturn; stable rosters = advantage
- ~50% women (was 75%) in a male industry

Exhibit 1	2015	2016
Employees	23 (text) / 27 FT	36
Revenue (CA$)	2.55M	3.14M
Net margin	14.5%	8.2%
Clients · exits	7 · 2	13 · 2

What Ramnath did

- '**Culture is the currency of employee retention**'; money per se cannot retain
- Flat structure, fluid roles, **O-Code** (10 values: selflessness, honesty, passion, courage, innovation, curiosity, impact, communication, judgement, respect)
- **Baseline pay = industry average**; rest of total comp **customised & negotiable** (4-day week, 4 weeks travel, split $3,500 course, $35K EMBA, babies at office, $1,000 charity)
- Peer review of all work incl. CEO; Monday calls
- Annual **$100,000 Cuba retreat** instead of bonuses

The dilemma

- Dec 2015 survey: **65% ranked salary increase #1**, then pension, training, vacation, daycare
- She went AGAINST the survey → non-financial rewards
- Proof?: senior manager rejected a poacher: 'You don't have annual retreats?'
- Now: scaling up (10 team leads, HR hire). Bigger firms need common structures, appraisal, pay systems seen as **fair**; customisation → **inequity** risk
- Q: Keep direction? How to sustain authenticity at scale?

Case 5 Orix: theory-by-theory analysis & recommendations

Model answer

Theory	What it says about Orix
Herzberg	Pay at industry avg = hygiene (no dissatisfaction); retreats, growth, responsibility = motivators → satisfaction. But survey shows pay still a live hygiene concern as market heats up
Maslow / McClelland	Needs differ: young parents (safety, belonging) vs high-achievers (esteem, achievement); customised packages fit this
SDT	Autonomy (prioritise own work), competence (training, EMBA, peer review), relatedness (retreats, family culture)
Expectancy	Negotiated rewards have high VALENCE; but INSTRUMENTALITY unclear (discretionary, 'ask & you get')
Equity / justice	Customised comp → some get more; low procedural transparency → inequity perceptions as firm grows
i-deals	Orix runs on i-deals; benefits (POS, retention) but fairness risk
Values / P-O fit	O-Code hiring & renewal = strong person-culture fit, commitment

Recommendations

- **Keep culture-first** strategy, but do not ignore pay: benchmark to stay at/above market as talent war grows (hygiene)
- **Formalise fairness**: transparent criteria & caps for i-deals; menu-based 'cafeteria' benefits; appeals (procedural justice)
- Codify O-Code into hiring, appraisal & promotion; train 10 team leads as culture carriers
- Keep retreats; add career paths & recognition
- Re-survey engagement; track exits & offers declined

MODULE 5: Positive Organisational Behaviour (POB)

Ch 7 pp. 257–295 · Positive OB PPT

POB = the study and application of positively oriented human-resource strengths and psychological capacities that can be MEASURED, DEVELOPED and effectively MANAGED for performance improvement (Luthans). Flourishing is its destination.

Traditional OB asks...	Positive OB asks...
'What is wrong with the employee?'	'What psychological strengths can we develop?'
'How do we reduce problems?'	'How do we build resources & flourishing?'

Blind positivity ✘	Positive OB ✔
'Everything will be fine!' Ignores obstacles, no action path	'The proposal failed. I'll learn, find another approach, try again'
Fake happiness	Acknowledges reality + builds resources → action

How positivity works (7.1, p. 260)

- POB works across all 3 levels via **amplifying** (positive effects multiply), **buffering** (protects against negatives) and **positivity**
- Positivity > positive thinking: improves health, relationships, performance

Benefits of POB (p. 261)

- **Positive deviance**: performance that dramatically exceeds the norm in a positive direction
- ↑ job performance, commitment, satisfaction · ↓ burnout, sick days

Book boxes to tab (TOC)

- How to build positivity p. 262 · ESG p. 265 · What Indian companies are doing p. 265
- M&A stress p. 267 · Boost positivity with fun p. 272

7.2–7.3 The power of positive emotions & fostering mindfulness

Ch 7 pp. 268–279

Broaden-and-build (Fredrickson)

- **Positive** emotions = resources: **broaden** mindset, open to new ideas, build social, psychological & physical resources; benefits endure
- **Negative** emotions **narrow** focus → specific, limited actions
- Effects on commitment, creativity, decisions, quit intentions, performance, stress

4 strategies to increase positivity

- 1 Create **high-quality connections**
- 2 Cultivate **kindness**
- 3 Develop **distractions** (e.g., go for a run)
- 4 **Dispute** negative self-talk
- ✘ NOT: fake happiness (class quiz)

Mindlessness	Mindfulness
Reduced attention, rigid, automatic	Awareness from paying attention **on purpose**
Poor emotional control	In the **present**, **non-judgemental**
Poor mental/physical health	Needs effort & attentional balance

Contagion & ratio

- Positive emotions are **contagious** → upward spirals
- Need **multiple positives to offset one negative** (positivity ratio, SA 7.1 p. 274)

Indian application (PPT)

- **Tata Group in COVID** (April 2020): anxious staff, disrupted ops → build hope, efficacy, resilience, optimism; Tata Trusts supported healthcare

Inhibitors & benefits

- Inhibitors: **attentional deficit** (can't focus) · **attentional hyperactivity** (racing, daydreaming)
- Benefits: physical, mental, interpersonal effectiveness; better communication; balanced emotions
- Learned via simple meditative practice

7.4 Psychological Capital (PsyCap) = HERO

Ch 7 pp. 280–285

H
HOPE

- Goal + **Willpower** (determination) + **Waypower** (one or more paths to the goal; see alternatives)
- Hope needs a goal AND the means (class quiz)

E
EFFICACY

- Confidence in your ability to do something; shapes how you deal with challenges
- High efficacy → confident, positive; link: expectancy (E)

R
RESILIENCE

- Capacity to consistently **bounce back** from adversity & sustain yourself
- Kaiser Permanente: resilience is organisational (p. 282)

O
OPTIMISM

- Successes = personal, **permanent, pervasive** causes; failures = external, **temporary, specific**
- Realistic & flexible, self-inspirational; link: attribution theory

Develop PsyCap (p. 283)

- Short training interventions raise HERO; set goals with paths, mastery experiences, reframing setbacks

Signature strengths (p. 284)

- Handful of personal strengths shaping thoughts, feelings, behaviour; use daily → engagement

Answer line: 'PsyCap is a measurable, developable resource (HERO) that predicts performance & well-being.'

7.5–7.6 Positive climates, virtuous leadership & flourishing (PERMA)

Ch 7 pp. 286–293

Positive organisational climate

- Climate = employees' perceptions of policies, practices, procedures, routines
- Built by **organisational values + organisational practices + virtuous leadership**
- Sweetgreen (p. 286)

Virtuous leadership (p. 289)

- Focus on the **greater good**, **trust**, **integrity**, **forgiveness**
- Benefits: financial performance, customer satisfaction, positive climate, org effectiveness
- Quiz: panel resolving conflicts = **restorative justice** value

Flourishing = extent your life contains PERMA (Seligman)

P	**Positive emotions**: broaden; spread; strengthen relationships
E	**Engagement**: physically, cognitively, emotionally involved; FLOW = total absorption
R	**Relationships**: social support: esteem · informational · companionship · instrumental
M	**Meaning**: belonging to & serving something bigger than self
A	**Achievement**: self-directed accomplishment pursued for its own sake

Case 6: Southwest Airlines' Nonstop Culture (WDI 2015)

Facts

- Founded 1967 (King & Kelleher); profitable **41 straight years** since 1973; largest US domestic carrier; NYSE: **LUV**
- Low-cost, single aircraft (737), fast turnarounds
- 44,831 employees; 100,682 résumés → 1,521 hired (2013); 83% unionised

Leaders

- **Herb Kelleher**: fun, informality, cards for births/deaths, 'value people as individuals', integrity; stay out of employees' way
- **Gary Kelly** (2008): 'our people = greatest strength'; AirTran merger

People practices

- **Hire for attitude, train for skill**; group interviews, situational questions; pilots: 3-phase interview
- **Employees = first customers**; customers second
- **University for People** (1986); MIT program $25K/person; leadership pipeline
- **No layoffs ever** ('Nothing kills culture like layoffs')
- **Open-book management** + 'Zodiak' finance board game → ownership
- Empowered customer-relations specialists; Listening Center
- Fun: midair wedding, paper-plane races; 144,000 volunteer hours

Tensions & outcomes

- Industry-leading pay (FA $63,752 vs Delta $42,647) yet 2014 union talks stalled: 'exploiting loyalty'?
- Social media blunder: family deplaned over tweet; Facebook fare sale glitch
- Outcomes: ACSI 78 (2nd), lowest complaints since 1987, no fatal crash, Fortune best places to work
- Harper's question: are the traits she hires for right for the future?

Case 6 Southwest: Positive OB analysis & recommendations

Model answer

POB / OB concept	Evidence at Southwest
Positive emotions & contagion	Fun culture, humour, celebrations spread to customers (spillover → satisfaction)
PsyCap (HERO)	Efficacy via training; hope via clear purpose & career paths; resilience post-9/11 without layoffs; optimism
Virtuous leadership	Kelleher's integrity, care, trust; leaders stay out of the way (forgiveness, greater good)
Positive climate: values + practices	Simple values, no layoffs, open books, empowerment, volunteering
PERMA / flourishing	Engagement, relationships ('family'), meaning (purpose 2013), achievement
Motivation links	Herzberg (security, pay = hygiene; recognition = motivator) · SDT (autonomy) · profit sharing (expectancy)
Values & attitudes	Hire for attitude = person-org fit → commitment, OCB, low turnover

Recommendations for Harper / Southwest

- Use **structured, situational interviews** with behavioural anchors for 'Southwest Way' traits + technical panels → reduce perception bias
- Hire for **PsyCap & EI** (resilience, empathy) not just 'fun'
- Protect culture during union talks: transparent, fair process (**procedural justice**), avoid perception of exploiting loyalty
- Social-media guidelines + empower staff with de-escalation training

EXAM TOOLKIT 1: Which theory fits which case?

✔✔ = core lens · ✔ = supporting

Theory / concept	R1 DOR	R2 Andy	R3 Resist.	C5 Orix	C6 SWA	C7 Prudence	C8 Yelp	Starbucks	Infosys/Jet
3-step + Organizing Framework	✔✔	✔	✔	✔✔	✔	✔	✔✔	✔✔	✔
Ethics (Table 1.2 causes)	✔						✔		✔
Values / P-O fit / culture	✔✔			✔✔	✔✔	✔	✔		✔✔
Attitudes: commitment, engagement, POS	✔✔		✔	✔✔	✔✔	✔	✔	✔✔	✔✔
Job satisfaction causes & outcomes	✔			✔✔	✔	✔		✔	✔✔
EI & emotions	✔	✔✔	✔✔		✔	✔✔		✔✔	
Perception / stereotypes	✔	✔	✔		✔	✔✔	✔✔	✔	
Attribution (Kelley, FAE)		✔	✔✔			✔✔	✔	✔	
Content theories (Maslow, Herzberg, McClelland, SDT)	✔✔			✔✔	✔✔			✔	✔
Equity / justice			✔✔	✔✔	✔	✔	✔✔	✔	✔✔
Expectancy / goal setting	✔			✔	✔			✔	
Job design / crafting / i-deals	✔			✔✔	✔	✔			
POB: PsyCap, PERMA, virtuous leadership	✔✔	✔		✔	✔✔	✔			✔

EXAM TOOLKIT 2: Compare & contrast in one line each

Classic 'distinguish between' questions

Pair	Difference (one line)
Values vs attitudes	Values = global, all situations; attitudes = specific objects, act via intentions
Content vs process theories	Content = WHAT needs motivate; process = HOW people choose effort
Maslow vs Herzberg	Maslow = 5 sequential needs; Herzberg = 2 independent factor sets (hygiene vs motivators)
McClelland vs SDT	Needs are learned (nAch, nAff, nPow) vs innate (competence, autonomy, relatedness)
Equity vs expectancy	Equity = fairness of ratio vs others; expectancy = E × I × V effort calculus
Distributive / procedural / interactional	Fair outcomes / fair process / fair interpersonal treatment
Job enlargement vs enrichment	Horizontal (more similar tasks) vs vertical (more responsibility & autonomy)
Job crafting vs i-deals	Employee reshapes job alone vs negotiates terms with employer
OCB vs CWB	Voluntary helping behaviour vs behaviour harming org/people
Felt vs displayed emotion	What you experience vs what you show (display norms)
FAE vs self-serving bias	Blame others' traits vs credit self for success, blame situation for failure
Schwartz vs Hofstede vs GLOBE	Individual value priorities vs national culture vs culture-leadership link
Technical vs adaptive challenge	Solvable with expertise vs needs new learning in mindsets (Heifetz, R1)
Traditional OB vs POB	Fix weaknesses vs build measurable, developable strengths (HERO)

EXAM TOOLKIT 3: Likely questions & answer skeletons (1/2)

Write 1 theory + 1 case fact + 1 action per para

Q1 Orix: Should Ramnath continue prioritising culture over pay?	Herzberg (pay = hygiene, retreats = motivators) + survey shows pay valence ↑ → equity risk of customised comp → recommend: market-benchmark pay + transparent i-deal rules + keep O-Code/retreats.
Q2 Do motivation theories explain real behaviour? (session question)	Partly: Maslow's ladder weakly supported, Herzberg critiqued (REI), expectancy & goal-setting strongly supported. Use Orix/DOR/Southwest to show combined theories work best → 'motivation is a system'.
Q3 Diagnose Yelp's diversity problem & recommend	Perception stages + implicit cognition + stereotypes at screening/'culture fit' stages; homogeneous deciders → structured interviews, blind screens, diverse panels, inclusion/ERGs, measure funnel.
Q4 Explain Prudence's barriers using OB	Gender stereotypes & double bind (4.2) · FAE about motherhood (4.3) · emotions & imposter syndrome (3.6) · values conflict → org fixes: flexible work, sponsorship, fair appraisal.

EXAM TOOLKIT 3: Likely questions & answer skeletons (2/2)

Q5 Is job satisfaction a reality or a workplace myth?	Reality: measurable (JDI), 5 causes, correlates with OCB, turnover, customers (spillover). Nuance: moderate link to performance; McKinsey: relational > transactional. DOR proves it without high pay.
Q6 How did Indiana DOR transform its culture? Lessons?	Schein's 3 levels (artifacts, espoused values, assumptions) + Pfeffer's 7 practices + Heifetz adaptive change + virtuous leadership → engagement & Top-100 workplace.
Q7 Southwest: role of positive OB in performance	Positive emotions & contagion → customer satisfaction; PsyCap; virtuous leadership (Kelleher); no layoffs, open books → POS; risks: union tensions, social media.
Q8 A manager labels resistant staff 'difficult'. Advise.	R3: resistance = data (loss, anxiety, control, flaws) · avoid FAE/personalising · procedural justice & voice · EI (empathy) · then 'hold the line' on behaviour.
Q9 Ethics: why do good people act unethically? (BoB app, Satyam)	Table 1.2: ill-conceived goals, motivated/indirect blindness, slippery slope, overvaluing outcomes + pressure & rewards → fix goals, reward process, whistle-blowing.

EXAM TOOLKIT 4: Turning your textbook into a cheat-sheet (open book)

Details: OB_Book_Margin_Guide.pdf

Before the exam (tonight)

- **Sticky tabs** on: p. 21 (3-step), 27 (framework), 18 (unethical causes), 43 (Schwartz), 49–50 (ABC, dissonance), 53 (4 attitudes), 60 (5 causes), 63 (correlates), 105 (EI), 111 (emotions), 126 (perception), 129 (Fig 4.3), 133 (stereotypes), 135 (Kelley), 169 (content), 174 (Herzberg), 178 (equity), 184 (expectancy), 187 (goals), 193 (JCM), 194 (crafting), 280 (HERO), 290 (PERMA)
- **Highlighter code**: Yellow = definitions · Green = lists/frameworks · Pink = Indian & company examples · Blue = research numbers

Use the blank spaces

- **Inside front cover**: page index (topic → page) + the CASE ANSWER MACHINE
- **Chapter-opener pages** (pp. 41, 77, 123, 165, 257): write the cases for that module (facts + 3-step answer outline)
- **Margins**: case links, e.g. next to Herzberg write 'Orix: pay = hygiene; retreats = motivator'
- **Inside back cover**: R1, R2, R3 summaries & handout frameworks not in the book (Hofstede, GLOBE, R3's 4 categories)

In the exam hall

- Read the case first; circle the **outcome gap**
- Pick 2–4 theories from the matrix (Toolkit 1)
- Flip to tabs only to grab the **exact definition, list & page number**
- Cite like '(Kinicki, p. 184)'; lists of 3–5 points earn marks
- Always end with **recommendations mapped to causes + ethics check**
- Budget time: don't read the book in the exam!

Last-minute recall: numbers, lists & names worth remembering

Read this slide just before the exam

Ethics causes (5)	Ill-conceived goals · motivated blindness · indirect blindness · slippery slope · overvaluing outcomes	**Job satisfaction causes (5)**	Need fulfilment · met expectations · value attainment · equity · dispositional (30%)
JS correlates (10)	4 attitudinal · 4 behavioural (performance, OCB, CWB, turnover) · 2 org (financial, customer)	**Engagement (Kahn)**	Urgency · focus · intensity · enthusiasm
EI (Goleman)	Self-awareness · self-management · social awareness · relationship management	**Perception stages (4)**	Attention · encoding · storage · retrieval
Person perception	Perceiver (6) · target (5) · situation (2)	**Kelley**	Internal = low consensus, low distinctiveness, high consistency
SDT	Competence · autonomy · relatedness	**JCM core (5)**	Skill variety · task identity · task significance · autonomy · feedback
Goal mechanisms (4)	Direct attention · regulate effort · persistence · strategies	**HERO / PERMA**	Hope · efficacy · resilience · optimism / Positive emotions · engagement · relationships · meaning · achievement